

about having shorted the stock (betting on it to go down), after which Mr. Brown made the following psychological observation: “You must hate money to be shorting my stock. You’ll lose your car and your house and have to go naked to the Christmas party.” Mr. Brown got a laugh out of repeating this to us, but in the four years that followed the stock did fall from \$50 to \$1. The acquaintance who shorted the stock must have been delighted with the fortune he made. If anyone had to go naked to the Christmas party, it would have been the regular shareholders in the long position. They would have avoided this fate by ignoring the hottest stock in this hot industry, or at least by having done some homework. There was nothing to Tom Brown, Inc., but a bunch of useless rigs, some dubious oil and gas acreage, some impressive debts, and a bad balance sheet.

There’s never been a hotter stock than Xerox in the 1960s. Copying was a fabulous industry, and Xerox had control of the entire process. “To xerox” became a verb, which should have been a positive development. Many analysts thought so. They assumed that Xerox would keep growing to infinity when the stock was selling for \$170 a share in 1972. But then the Japanese got into it, IBM got into it, and Eastman Kodak got into it. Soon there were twenty firms that made nice dry copies, as opposed to the original wet ones. Xerox got frightened and bought some unrelated businesses it didn’t know how to run, and the stock lost 84 percent of its value. Several competitors didn’t fare much better.

Copying has been a respectable industry for two decades and there’s never been a slowdown in demand, yet the copy machine companies can’t make a decent living.

Contrast the sorry stock performance of Xerox to that of Philip Morris, a company that sells cigarettes—a negative-growth industry in the U.S. Over the past fifteen years Xerox dropped from \$160 to \$60, while Philip Morris rose from \$14 to \$90. Year after year Philip Morris increases its earnings by expanding its market share abroad, by raising prices, and by cutting costs. Because of its brand names—Marlboro, Virginia Slims, Benson & Hedges, Merit, etc.—Philip Morris has found its niche. Negative-growth industries do not attract flocks of competitors.

BEWARE THE NEXT SOMETHING

Another stock I’d avoid is a stock in a company that’s been touted as the next IBM, the next McDonald’s, the next Intel, or the next Disney, etc. In my experience the next of something almost never is—on Broadway, the best-seller list, the National Basketball Association, or Wall Street. How many times have you heard that some player is supposed to be the next Willie Mays, or that some